



PAPER – 6: FINANCIAL MANAGEMENT AND STRATEGIC MANAGEMENT

6A: FINANCIAL MANAGEMENT



QUESTIONS

Case Scenarios

1. PPW Ltd is a mid-sized manufacturing company producing household appliances for the Indian market. With competition heating up, the company's management is becoming increasingly conscious about liquidity management and efficient use of working capital.

During the last financial year, the company recorded annual sales of ₹ 48,00,000, offering its customers a 3-month credit period to encourage bulk orders. While this has boosted sales, it has also tied up significant funds in debtors.

On the production side, the company incurs the following annual costs:

- **Materials consumed:** ₹ 12,00,000 (suppliers allow 2 months' credit)
- **Wages:** ₹ 9,60,000 (paid with a 1-month lag)
- **Cash manufacturing expenses:** ₹ 12,00,000 (settled 1 month in arrears)
- **Administrative expenses:** ₹ 3,60,000 (paid with a 1-month lag)
- **Sales promotion expenses:** ₹ 1,20,000 (paid monthly in advance to agencies)

The company sells its products at a gross profit margin of 20%. It also maintains 2 months' stock of raw materials and 2 months' stock of finished goods to ensure smooth production and timely delivery to distributors.

Further, depreciation is considered part of the cost of production, but since it does not require a cash outflow, management wants to ignore it while assessing the cash cost basis of working capital. A minimum cash balance of ₹ 1,00,000 is always retained for contingencies.

Now, the Board of Directors has asked the finance team to answer the following 5 questions:

- (i) What will be the gross working capital of the company on cash cost basis?
 - (A) ₹ 16,00,000
 - (B) ₹ 17,20,000
 - (C) ₹ 18,30,000
 - (D) ₹ 19,60,000
- (ii) PPW Ltd wants to compute its working capital requirement on a cash cost basis (ignoring WIP), assuming a 15% margin. Based on the given financial data, what will be the working capital requirement?
 - (A) ₹ 16,33,000
 - (B) ₹ 10,20,000
 - (C) ₹ 20,40,000
 - (D) ₹ 9,60,000
- (iii) Excluding the 15% margin, what is the Current Ratio of PPW Ltd?
 - (A) 4.46 : 1
 - (B) 3.8 : 1
 - (C) 2.0 : 1
 - (D) 2.2 : 1

- (iv) What is the Quick Ratio of PPW Ltd (excluding the 15% margin)?
- (A) 2.92 : 1
- (B) 1.05 : 1
- (C) 2.59 : 1
- (D) 1.85 : 1
- (v) What is the Working Capital Turnover Ratio based on cash cost of sales?
- (A) 4 times
- (B) 3.38 times
- (C) 6.2 times
- (D) 2.7 times

2. Please consider the following data:

Project	NPV (₹ '000)	I (₹ '000)
A	15	60
B	20	100
C	25	150

Given that $NPV = PV - I$ and $PI = PV / I$, where PV is the present value of future net cash inflows and I is the initial investment on a project. Based on the data furnished above, which one of the following statements is correct?

- (A) Project A is recommended based on PI criterion
- (B) Project B is recommended based on NPV criterion
- (C) Project C is recommended based on PI criterion
- (D) Project A is recommended based on NPV criterion
3. As per extended Du Pont analysis:
- $$ROE = NPM \times TATR \times x/y$$

Where, ROE = Return on Equity

NPM = Net Profit Margin

TATR = Total Asset Turnover Ratio

Here, x/y represents:

- (A) Debt / Equity
 - (B) Total Assets / Sales
 - (C) Total Assets / Equity
 - (D) Equity / Debt
4. If Degree of Financial Leverage (DFL) = $5/4$, which one of the following will be the interest coverage ratio?
- (A) 5
 - (B) 4
 - (C) $3/4$
 - (D) 1.33

Ratio Analysis

5. ABC Industries Ltd, a listed company, is a renowned player in the pharmaceutical sector. The company has availed various credit facilities from X bank, namely, Cash Credit Facility, Term Loan(s), Working Capital Demand Loan, Bank Guarantee(s) / Letter of Credit. This strategic mix of various credit facilities showcases the company's balanced approach to leveraging and risk management. The company has totally 1 Lakh Equity Shares of ₹ 10 each outstanding. The company's shares are traded at a premium of 20%. The company's capital yields a healthy return rate, indicative of its operational efficiency and market competitiveness. However, it operates in a high-tax environment with an income-tax rate of 50%, which significantly impacts its net earnings and available reinvestment capital.

At the beginning of the year 2024-25, the company went in for re-organisation of capital structure, with share capital remaining the same as follows:

- (a) Share capital - 40%,
- (b) 12% Preference Share Capital – 10%
- (c) Other Shareholders' funds - 15%
- (d) 15% Term Loan - 10%
- (e) Current Liabilities - 25%

Term Loan is repayable in 5 instalments starting from 31.03.2025. Since the first instalment is not yet paid, as part of periodic review by the Bank and in order to ensure compliance with their internal and regulatory requirements, the Bank requested the company to furnish a Financial Soundness Report duly certified by your Chartered Accountant/Auditor. The report should inter alia cover various Ratios that:

1. estimates whether the business can pay short term debts.
2. measures the ability to meet current debt immediately.
3. measures the ability to meet the commitment of various debt services like interest, instalment etc.
4. measures the ability of business to meet the interest obligations.
5. measures the ability of business to pay the preference dividend.
6. shows how many times the cash flow before interest and taxes covers all fixed financing charges.

The Chief Executive officer asked the Statutory auditor to prepare a reply letter quoting the proper ratio that covers the issues raised by the bank in this format –

Issue	Ratio	Numerator	Denominator	Ideal Ratio/Range	Ratio of the Company	Favourable/Adverse

Closing fixed assets after providing 20% Depreciation constituted 60% of the total assets. Current assets comprises Inventories, Advance Tax, Prepaid Insurance and Receivables. The receivables (one-fifth of the current assets) to sales ratio revealed a credit period of 2 months. There were no cash sales. Operating profit margin being 15%. Also find out the ratios that

1. indicates composition of capital structure in terms of debt and equity
2. measures overall profits generated for each share in existence.
3. indicates market response of the equity shareholders' investment.
4. Indicates expectations of the equity investors about the earnings of the firm.

Cost of Capital

6. The capital structure of Shine Ltd. as on 31.03.2024 is as under:

Particulars	Amount (₹)
Equity share capital of ₹ 10 each	45,00,000
15% Preference share capital of ₹ 100 each	36,00,000
Retained earnings	32,00,000
13% Convertible Debenture of ₹ 100 each	67,00,000
11 % Term Loan	20,00,000
Total	2,00,00,000

Additional information:

- (A) Company issued 13% Convertible Debentures of ₹ 100 each on 01.04.2023 with a maturity period of 6 years. At maturity, the debenture holders will have an option to convert the debentures into equity shares of the company in the ratio of 1 : 4 (4 shares for each debenture). The market price of the equity share is ₹ 25 each as on 31.03.2024 and the growth rate of the share is 6% per annum.

- (B) Preference stock, redeemable after eight years at par, is currently selling at ₹ 150 per share.
- (C) The prevailing default-risk free interest rate on 10-year GOI treasury bonds is 6%. The average market risk premium is 8% and the Beta (β) of the company is 1.54.

Corporate tax rate is 25%.

You are required to calculate the cost of:

- (i) Equity Share Capital
- (ii) Preference Share Capital
- (iii) Convertible Debenture
- (iv) Retained Earnings
- (v) Term Loan

Capital Structure

7. J Ltd. is an all equity financed company with a market value of ₹ 25,00,000 and cost of equity (K_e) 21%. The company wants to buyback equity shares worth ₹ 5,00,000 by issuing and raising 15% perpetual debt of the same amount. Rate of tax may be taken as 30%. After the capital restructuring and applying MM Model (with taxes), you are required to calculate:
- (i) Market value of J Ltd.
 - (ii) Cost of Equity (K_e)
 - (iii) Weighted average cost of capital (using market weights) and comment on it.

Leverage

8. Following Balance Sheet and Income Statement have been obtained from the books of accounts of Pinaca Pvt. Ltd.

Balance Sheet as on March 31st 2025

Liabilities	Amount (₹)	Assets	Amount (₹)
Equity Capital (₹ 10 per share)	80,00,000	Net Fixed Assets	1,00,00,000
10% Debt	60,00,000	Current Assets	90,00,000
Retained Earnings	35,00,000		
Current Liabilities	15,00,000		
	1,90,00,000		1,90,00,000

Income Statement for the year ending March 31st 2025

Particulars	Amount (₹)
Sales	34,00,000
Less: Operating expenses (including ₹ 6,00,000 depreciation)	(12,00,000)
EBIT	22,00,000
Less: Interest	(6,00,000)
Earnings before tax	16,00,000

The tax rate applicable to the company is 35 percent.

- (i) DETERMINE the degree of operating, financial and combined leverages at the current sales level, if all operating expenses, other than depreciation, are variable costs.
- (ii) If total assets remain at the same level, but sales (i) increase by 20 percent and (ii) decrease by 20 percent, COMPUTE the earnings per share at the new sales level?

Investment Decision

9. ABC Manufacturing Ltd is a mid-sized engineering and fabrication company that supplies precision components to the automobile and heavy machinery sectors. In order to maintain competitiveness and

expand its market share, the company has proposed a new capital investment project involving the purchase and installation of advanced Computer Numerical Control (CNC) machines and automated assembly lines.

The estimated cost of the project is to be financed partly through internal accruals and largely through term loans from XYZ Bank. ABC Manufacturing has approached the bank requesting project financing of the initial outlay, citing strong growth potential in demand for precision-engineered products over the next decade.

Financial Projections Provided by ABC Manufacturing Ltd.

The company's feasibility report outlines the following:

- The simple payback period is estimated at 5 years, assuming cumulative cash inflows cover the initial investment within that timeframe without considering the time value of money.
- The discounted payback period is calculated at 7 years, after discounting projected cash inflows at the weighted average cost of capital (WACC).
- The project's Modified Internal Rate of Return (MIRR) is projected at 10.9%, which is much lower than the incremental borrowing rate.
- Terminal Value of the annual cash inflows reinvested at the rate of 10% is ₹ 11,43,589.
- Cash inflows are expected to be received equally and steadily at the end of every year over the life of the assets. However, the same Cash inflows are expected to be received even after the simple payback period due to efficiency gains, market expansion, and economies of scale.

(Note: Round off Initial investment to nearest Lakhs).

Management's Position

ABC Manufacturing argues that:

1. The project is strategically essential for long-term survival in a competitive industry.
2. The simple payback of 5 years indicates that the investment risk is acceptable.
3. Although the discounted payback of 7 years is relatively long, the project will continue to generate positive inflows 1 year beyond this period.
4. MIRR of 10.9% should be interpreted in light of industry cyclicity, expected market growth, and non-financial benefits such as improved brand reputation and quality standards.

Bank's Concerns

The credit appraisal team at XYZ Bank has raised several concerns:

- Reliance on payback methods alone ignores long-term profitability, and risk factors.
- Industry volatility, competition, and technological obsolescence may affect the reliability of projected cash flows.

The credit team must now prepare a recommendation on whether to finance the project and, if so, under what conditions. Assuming you were the credit analyst, prepare justification report with a reasoned argument based on other financial considerations namely, PI, NPV, IRR & ARR in the following format.

Appraisal technic	Acceptable range	Outcome for this asset	Recommendation
NPV			
MIRR			
Simple payback			

Discount payback			
ARR			
PI			

Note: For ARR, use the formula Profit after tax

Consider the following PVAF:

PVAF @ 9% for 7 years = 5 & PVAF @ 9% for 8 years = 5.535

Dividend Decisions

10. For the year ending 31.03.2025, ABC Industries Ltd declared 40% dividend. The current market price of the share is quoted at ₹ 57.50. If the retention ratio is reduced by 20 percent, the market price dropped by ₹ 2.50. Face value of the shares is ₹ 10 per share.
- Find the return on investment and cost of equity using walter's model.
 - Comment on the dividend policy adopted by the company.
 - Find the limiting value of shares using walter's model.
 - Also find the intrinsic value of the shares under Gordon's Model.
 - Mr. X, the chief financial officer of the company, opines that the return on investment of the company is not having direct / indirect effect on the intrinsic value of the shares under Gordon's Model. Only cost of equity will be considered for the computation of the intrinsic value of the shares under Gordon's Model.

Miscellaneous

11. (a) Write the main features of Bulldog Bond.
- (b) What do you understand by Spontaneous Sources of finance and explain its sources of finance?
- (c) What are the causes of over-capitalization?
- (d) What are disadvantages of Profit Maximization?